

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR
6 HOUSE BILL NO. 3781

By: Adams

7
8 COMMITTEE SUBSTITUTE

9 An Act relating to insurance; amending 36 O.S. 2021,
10 Section 981, which relates to the purpose of the
11 Property and Casualty Competitive Loss Cost Rating
12 Act; modifying purpose; amending 36 O.S. 2021,
13 Section 982, which relates to definitions used in the
14 Property and Casualty Competitive Loss Cost Rating
15 Act; modifying definitions; amending 36 O.S.
16 2021, Section 985, which relates to ratemaking
17 standards; establishing that a rate may be excessive
18 if unreasonably high for insurance provided or in
19 relation to services rendered; prohibiting
20 discrimination on the basis of religion; amending 36
21 O.S. 2021, Section 986, which relates to rate
22 administration; modifying applicability; amending 36
23 O.S. 2021, Section 987, which relates to rate
24 filings; requiring insurers in a competitive market
 to file rates sixty days before effective date;
 amending 36 O.S. 2021, Section 989, which relates to
 improper rates, disapproval, and hearing; modifying
 basis for disapproval; requiring notice and
 opportunity for hearing; amending 36 O.S. 2021,
 Section 994, which relates to advisory organizations
 and filing requirements; permitting the Commissioner
 to provide written notice of additional time needed
 to consider filings; amending 36 O.S. 2021, Section
 995, as amended by Section 1, Chapter 304, O.S.L.
 2022 (36 O.S. Supp. 2025, Section 995), which relates
 to joint underwriting, joint reinsurance pool, and
 residual market activities; directing the
 Commissioner to issue a certain written order;
 repealing 36 O.S. 2021, Section 984, which relates to

1 ratemaking standards; repealing 36 O.S. 2021, Section
2 985.1, which relates to rates and determination that
3 competition does not exist; and providing an
4 effective date.

5
6 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

7 SECTION 1. AMENDATORY 36 O.S. 2021, Section 981, is
8 amended to read as follows:

9 Section 981. Short Title and Purposes of Act.

10 A. Sections 981 through 998 of this title and Sections 22, 23
11 and 24 of this act shall constitute a part of the Oklahoma Insurance
12 Code and shall be known and may be cited as the "Property and
13 Casualty Competitive Loss Cost Rating Act".

14 B. The purposes of the Property and Casualty Competitive Loss
15 Cost Rating Act are:

16 1. To promote price competition among insurers so as to provide
17 rates that are responsive to competitive market conditions;

18 2. To protect policyholders and the public against the adverse
19 effects of excessive, inadequate or unfairly discriminatory rates;

20 3. To prohibit unlawful price-fixing agreements and other
21 anticompetitive behavior by insurers;

22 4. To provide regulatory procedures for the maintenance of
23 appropriate data reporting systems;

1 5. To provide regulatory controls ~~in the absence of a~~
2 ~~competitive marketplace~~; and

3 6. To authorize essential cooperative action among insurers in
4 the ratemaking process and to regulate such activity to prevent
5 practices that substantially lessen competition or create a
6 monopoly.

7 SECTION 2. AMENDATORY 36 O.S. 2021, Section 982, is
8 amended to read as follows:

9 Section 982. Definitions.

10 As used in the Property and Casualty Competitive Loss Cost
11 Rating Act:

12 1. "Accepted actuarial standards" means the standards adopted
13 by the Casualty Actuarial Society Statement of Principles regarding
14 property and casualty ratemaking or the Standards of Practice
15 adopted by the Actuarial Standards Board;

16 2. "Advisory organization" means any corporation,
17 unincorporated association, partnership or person, whether located
18 inside or outside this state, that is licensed in accordance with
19 Section 1140 of this title and which assists insurers in ratemaking-
20 related activities such as enumerated in Section 1142 of this title;

21 3. "Classification system" or "classification" means the
22 process of grouping risks with similar risk characteristics so that
23 differences in costs may be recognized;

1 4. "Commercial risk" means any kind of risk that is not a
2 personal risk;

3 5. "Commissioner" means the Commissioner of Insurance of this
4 state;

5 6. ~~"Competitive market" means a market which has not been found~~
6 ~~to be noncompetitive pursuant to Section 984 of this title;~~

7 ~~7.~~ "Developed losses" means losses, including loss adjustment
8 expenses, adjusted using accepted actuarial standards, to eliminate
9 the effect of differences between current payment or reserve
10 estimates and those which are anticipated to provide actual ultimate
11 loss, including loss adjustment expense payments;

12 ~~8.~~ 7. "Expenses" means that portion of a rate attributable to
13 acquisition, field supervision, collection expenses, general
14 expenses, taxes, licenses and fees;

15 ~~9.~~ 8. "Experience rating" means a rating procedure utilizing
16 past insurance experience of the individual policyholder to forecast
17 future losses by measuring the policyholder's loss experience
18 against the loss experience of policyholders in the same
19 classification to produce a prospective premium credit, debit or
20 unity modification;

21 ~~10.~~ 9. "Joint underwriting" means a voluntary arrangement
22 established to provide insurance coverage for a risk pursuant to
23 which two or more insurers jointly contract with the insured at a
24 price and under policy terms agreed upon between the insurers;

1 ~~11.~~ 10. "Loss adjustment expense" means the expenses incurred
2 by the insurer in the course of settling claims;

3 ~~12.~~ 11. "Market" means the statewide interaction between buyers
4 and sellers of identical or readily substitutable products that
5 provide insurance protection of identifiable perils to buyers;

6 ~~13.~~ 12. "Mass marketed plan" means a method of selling
7 property-liability insurance wherein the insurance is offered to
8 employees of particular employers or to members of particular
9 associations or organizations or to persons grouped in other ways,
10 and the employer or association or other organization has agreed to,
11 or otherwise affiliated itself with, the sale of such insurance to
12 its employees or members;

13 ~~14. "Noncompetitive market" means a market for which there is a~~
14 ~~ruling in effect pursuant to Section 984 of this title that a~~
15 ~~reasonable degree of competition does not exist;~~

16 ~~15.~~ 13. "Personal risk" means homeowners, tenants, private
17 passenger nonfleet automobiles, manufactured homes and other
18 property and casualty insurance for personal, family or household
19 needs, including any property and casualty insurance that is
20 otherwise intended for noncommercial coverage;

21 ~~16.~~ 14. "Pool" means a voluntary arrangement, established on an
22 ongoing basis, pursuant to which two or more insurers participate in
23 the sharing of risks on a predetermined basis. The pool may operate
24 through an association, syndicate or other pooling agreement;

~~17.~~ 15. "Prospective loss costs" means historical aggregate

losses and may include loss adjustment expenses, including all assessments that are loss based, projected through development to their ultimate value and through trending to a future point in time;

~~18.~~ 16. "Pure premium rate" means that portion of the rate

which represents the loss costs per unit of exposure including loss adjustment expense;

~~19.~~ 17. "Rate" or "rates" means that cost of insurance per

exposure unit whether expressed as a single number or as a prospective loss cost with an adjustment to account for the treatment of expenses, profit, and individual insurer variation in loss experience, prior to any application of individual risk variations based on loss or expense considerations, and does not include minimum premium;

~~20.~~ 18. "Residual market mechanism" means an arrangement,

either voluntary or mandated by law, involving participation by insurers in the equitable apportionment among them of insurance which may be afforded applicants who are unable to obtain insurance through ordinary methods;

~~21.~~ 19. "Special assessments" means guaranty fund assessments,

Special Indemnity Fund assessments, Vocational Rehabilitation Fund assessments, and other similar assessments. Special assessments shall not be considered as either expenses or losses;

1 ~~22.~~ 20. "Statistical plan" means the plan, system or
2 arrangement used in collecting data;

3 ~~23.~~ 21. "Supplementary rating information" means any manual or
4 plan of rates, classification, rating schedule, minimum premium,
5 policy fee rating rule and any other information needed to determine
6 the applicable premium in effect or to be in effect. This includes,
7 rating plans, territory codes and descriptions and rules which
8 include factors or relativities such as increased limits factors,
9 deductible discounts or relativities, classification relativities or
10 similar factors used to determine the rate in effect or to be in
11 effect;

12 ~~24.~~ 22. "Supporting information" means the experience and
13 judgment of the filer and the experience or data of other insurers
14 or advisory organizations relied upon by the filer, the
15 interpretation of any other data relied upon by the filer,
16 descriptions of methods used in making the rates and any other
17 information required by the Commissioner to be filed; and

18 ~~25.~~ 23. "Trending" means any procedure for projecting losses to
19 the average date of loss, or premiums or exposures to the average
20 date of writing, for the period during which the policies are to be
21 effective.

22 SECTION 3. AMENDATORY 36 O.S. 2021, Section 985, is
23 amended to read as follows:

24 Section 985. Ratemaking Standards.

1 A. A rate may not be excessive, inadequate or unfairly
2 discriminatory.

3 ~~1. No rate in a competitive market may be determined to be~~
4 ~~excessive. A rate in a noncompetitive market may be determined to~~
5 ~~be excessive if it is likely to produce a profit that is~~
6 ~~unreasonably high for the insurance provided~~ A rate may be
7 determined to be excessive if it is unreasonably high for the
8 insurance provided or is unreasonably high in relation to the
9 services rendered.

10 2. A rate may not be determined to be inadequate unless:

- 11 a. the rate is clearly insufficient to sustain projected
12 losses, expenses and special assessments, and
13 b. the rate is unreasonably low and use of the rate by
14 the insurer has tended or, if continued, will tend to
15 create a monopoly in the market.

16 3. Unfair discrimination may be determined to exist if, after
17 allowing for practical limitations, price differentials fail to
18 reflect equitably the differences in expected losses and expenses.
19 A rate may not be determined to be unfairly discriminatory because
20 different premiums result for policyholders with like loss exposures
21 but different expense levels, or like expenses but different loss
22 exposures, or if it averaged broadly among persons insured within a
23 group, franchise or blanket policy or a mass-marketed plan. No rate
24 ~~in a competitive market~~ shall be considered unfairly discriminatory

1 unless it classifies risk on the basis of race, color, creed, ~~or~~
2 national origin, or religion.

3 B. In determining whether rates ~~in a noncompetitive market~~ are
4 excessive, inadequate, or unfairly discriminatory, due consideration
5 may be given to:

6 1. Past and prospective loss experience within and outside this
7 state, in accordance with accepted actuarial principles;

8 2. Conflagration and catastrophe hazards;

9 3. A reasonable margin for underwriting profit and
10 contingencies;

11 4. Loadings for leveling premium rates over time for dividends,
12 savings or unabsorbed premium deposits allowed or returned by
13 insurers to their policyholders, members or subscribers;

14 5. Past and prospective expenses both countrywide and those
15 specially applicable to this state; and

16 6. Provisions for special assessments; and to all other
17 relevant factors including judgment within and outside this state.

18 C. Risks may be grouped by classifications for the
19 establishment of rates and minimum premiums. Classification rates
20 may be modified to produce rates for individual risks in accordance
21 with rating plans which establish standards for measuring variations
22 in hazards or expense provisions, or both. Such standards may
23 measure any differences among risks that can be demonstrated to have
24 a probable effect upon losses or expenses. No risk classification

1 however, may be based on race, creed, national origin, or the
2 religion of the insured.

3 D. The expense provisions included in the rates for use by an
4 insurer or group of insurers may differ from those of any other
5 insurer or group of insurers to reflect the requirements of the
6 operating methods of the insurer or group of insurers.

7 E. The rates may contain provision for contingencies and an
8 allowance permitting a reasonable profit. In determining the
9 reasonableness of the profit, consideration shall be given to the
10 investment income attributable to the line of insurance.

11 F. Risks may be classified in any way except that no risk may
12 be classified on the basis of race, color, creed, ~~or~~ national
13 origin, or religion.

14 SECTION 4. AMENDATORY 36 O.S. 2021, Section 986, is
15 amended to read as follows:

16 Section 986. Rate Administration.

17 A. ~~In only those markets found to be noncompetitive pursuant to~~
18 ~~Section 984 of this title, insurers~~ Insurers and advisory
19 organizations shall file with the Commissioner and the Commissioner
20 shall review reasonable rules and plans for recording and reporting
21 their rates, loss and expense experience and other information
22 determined by the Commissioner to be necessary or appropriate for
23 the administration of the Property and Casualty Competitive Loss
24 Cost Rating Act. The Commissioner may designate one or more

1 advisory organizations or other agencies to assist in gathering such
2 experience and making compilation thereof.

3 B. Reasonable rules and plans may be promulgated by the
4 Commissioner for the exchange of data necessary for the development
5 and application of rating plans.

6 C. In order to further uniform administration of rate
7 regulatory laws, the Commissioner and every insurer and advisory
8 organization may exchange information and experience data with
9 insurance supervisory officials, insurers and advisory organizations
10 in other states and may consult with them with respect to the
11 application of rating systems.

12 D. Cooperation among advisory organizations or among advisory
13 organizations and insurers in ratemaking or in other matters within
14 the scope of the Property and Casualty Competitive Loss Cost Rating
15 Act is authorized. The Commissioner may review such cooperative
16 activities and practices, and if, after a hearing, any such activity
17 or practice is found to violate the provisions of the Property and
18 Casualty Competitive Loss Cost Rating Act, a written order may be
19 issued specifying that such activity or practice violates the
20 provisions of this act and requiring the discontinuance of such
21 activity.

22 SECTION 5. AMENDATORY 36 O.S. 2021, Section 987, is
23 amended to read as follows:

24 Section 987. Rate Filings.

1 A. ~~In a competitive market, every~~ Every insurer shall file with
2 the Insurance Commissioner all rates and ~~supplementary rate~~
3 ~~information~~ any additional information requested by the Insurance
4 Commissioner, to be used in this state ~~no later than thirty (30)~~
5 ~~days after~~ at least sixty (60) days prior to the effective date;
6 provided, that the rates and supplementary rate information need not
7 be filed for commercial risks, which by general custom are not
8 written according to manual rules or rating plans.

9 B. ~~In a noncompetitive market, every insurer shall file with~~
10 ~~the Commissioner all rates, supplementary rate information and~~
11 ~~supporting information at least thirty (30) days before the proposed~~
12 ~~effective date.~~ The Commissioner may give written notice, within
13 ~~thirty (30)~~ sixty (60) days of receipt of the filing, that the
14 Commissioner needs additional time, not to exceed ~~thirty (30)~~ sixty
15 (60) days from the date of the notice to consider the filing. Upon
16 written application of the insurer, the Commissioner may authorize
17 rates to be effective before the expiration of the waiting period or
18 an extension thereof. A filing shall be deemed to meet the
19 requirements of the Property and Casualty Competitive Loss Cost
20 Rating Act and to become effective unless disapproved pursuant to
21 this title by the Commissioner before the expiration of the waiting
22 period or an extension thereof.

23 ~~In a noncompetitive market, the filing shall be deemed in~~
24 ~~compliance with the filing provision of this section unless the~~

1 ~~Commissioner informs the insurer within ten (10) days after receipt~~
2 ~~of the filings as to what supplementary rate information or~~
3 ~~supporting information is required to complete the filing.~~

4 ~~C.~~ B. Every authorized insurer shall file with the
5 Commissioner, except as to rates for those lines of insurance
6 exempted from the provisions of the Property and Casualty
7 Competitive Loss Cost Rating Act by the Commissioner under
8 subsections ~~E~~ C and ~~F~~ D of this section and except for those risks
9 designated as special risks under Section 997 of this title, all
10 rates, supplementary rate information, any additional information
11 requested by the Insurance Commissioner, and any changes and
12 amendments which it proposes to use. An insurer may file its rates
13 by either filing its final rates or by filing a multiplier and, if
14 applicable, an expense constant adjustment to be applied to
15 prospective loss costs that have been filed by an advisory
16 organization as permitted by this title. Such loss cost multiplier
17 filing and expense constant filings made by insurers shall remain in
18 effect until amended or withdrawn by the insurer. Every filing
19 shall state the effective date.

20 ~~D.~~ C. Under rules as may be adopted, the Commissioner may, by
21 written order, suspend or modify the requirement of filing as to any
22 kind of insurance, subdivision or combination thereof, or as to
23 classes of risks.

1 ~~E.~~ D. Notwithstanding any other provision of the Property and
2 Casualty Competitive Loss Cost Rating Act, upon the written consent
3 of the insured in a separate written document, a rate in excess of
4 that determined in accordance with the other provisions of the
5 Property and Casualty Competitive Loss Cost Rating Act may be used
6 on a specific risk.

7 ~~F.~~ E. A filing and any supporting information required to be
8 filed shall be open to public inspection ~~once the filing becomes~~
9 ~~effective~~ except information marked confidential, trade secret, or
10 proprietary by the insurer or filer ~~and except the filings of an~~
11 ~~advisory organization which shall be open to public inspection upon~~
12 ~~the received date of the rate, loss cost, or manual rule change.~~
13 The insurer or filer shall have the burden of asserting to the
14 Commissioner that a filing and supporting information are
15 confidential, upon the request of the Commissioner. The
16 Commissioner may disapprove of the insurer's request for
17 confidential filing status.

18 SECTION 6. AMENDATORY 36 O.S. 2021, Section 989, is
19 amended to read as follows:

20 Section 989. Improper Rates; Disapproval; Hearing.

21 A. ~~Basis for disapproval.~~

22 ~~1.~~ The Commissioner shall disapprove a rate ~~in a competitive~~
23 ~~market only~~ if the Commissioner finds, pursuant to subsection B of
24

1 this section, that the rate is excessive, inadequate, or unfairly
2 discriminatory pursuant to Section 985 of this title.

3 ~~2. The Commissioner may disapprove a rate for use in a~~
4 ~~noncompetitive market only if the Commissioner finds, pursuant to~~
5 ~~subsection B of this section, that the rate is excessive, inadequate~~
6 ~~or unfairly discriminatory under this subsection.~~

7 B. ~~Procedures for disapproval.~~

8 1. Prior to the expiration of a waiting period or an extension
9 thereof, made pursuant to subsection B of Section 987 of this title,
10 the Commissioner may disapprove, by written order, rates filed
11 pursuant to subsection B of Section 987 of this title with notice
12 and opportunity for a hearing. The order shall specify in what
13 respects the filing fails to meet the requirements of this act. Any
14 insurer whose rates are disapproved pursuant to this section shall
15 be given a hearing upon written request made within thirty (30) days
16 of disapproval.

17 2. If, at any time after a rate is effective, the Commissioner
18 finds that a rate applicable to insurance ~~sold in a noncompetitive~~
19 ~~market~~ does not comply with the standards set forth in Section 985
20 of this title, the Commissioner may, after a hearing held upon not
21 less than twenty (20) days' written notice, issue an order pursuant
22 ~~to subsection C of this section~~, disapproving such rate. The
23 hearing notice shall be sent to every insurer and advisory
24 organization that adopted the rate and shall specify the matters to

1 be considered at the hearing. The disapproval order shall not
2 affect any contract or policy made or issued prior to the effective
3 date set forth in the order.

4 ~~3. If, at any time, the Commissioner finds that a rate~~
5 ~~applicable to insurance sold in a competitive market is inadequate~~
6 ~~or unfairly discriminatory under paragraph 2 or 3 of subsection A of~~
7 ~~Section 985 of this title, the Commissioner may issue an order~~
8 ~~pursuant to subsection C of this section disapproving the rate. The~~
9 ~~order shall not affect any contract or policy made or issued prior~~
10 ~~to the effective date set forth in the order.~~

11 ~~C. Order of disapproval.~~

12 ~~If the Commissioner disapproves a rate pursuant to subsection B~~
13 ~~of this section, the Commissioner shall issue an order within thirty~~
14 ~~(30) days of the close of the hearing specifying in what respects~~
15 ~~the rate fails to meet the requirements of this act. The order~~
16 ~~shall state an effective date no sooner than thirty (30) business~~
17 ~~days after the date of the order when the use of the rate shall be~~
18 ~~discontinued. This order shall not affect any policy made before~~
19 ~~the effective date of the order.~~

20 ~~D. Appeal of orders and establishment of reserves.~~

21 If an order of disapproval is appealed pursuant to Section 990
22 of this title, the insurer may implement the disapproved rate upon
23 notification to the court, in which case any excess of the
24 disapproved rate over a rate previously in effect shall be placed in

1 a reserve established by the insurer. The court shall have control
2 over the disbursement of funds from such reserve. The funds shall
3 be distributed as determined by the court in its final order except
4 that de minimus refunds to policyholders shall not be required.

5 ~~E.~~ D. All determinations made by the Commissioner under this
6 section shall be on the basis of findings of fact and conclusions of
7 law.

8 SECTION 7. AMENDATORY 36 O.S. 2021, Section 994, is
9 amended to read as follows:

10 Section 994. Advisory Organizations; Filing Requirements.

11 Every advisory organization shall file with the Insurance
12 Commissioner for approval every statistical plan, all prospective
13 loss costs, provisions for special assessments ~~and,~~ all
14 supplementary rating information, and any additional information
15 requested by the Insurance Commissioner, and every change or
16 amendment or modification of any of the foregoing proposed for use
17 in this state at least ~~thirty (30)~~ sixty (60) days prior to its
18 effective date. The Commissioner may give written notice, within
19 sixty (60) days of receipt of the filing, that the Commissioner
20 needs additional time, not to exceed sixty (60) days from the date
21 of the notice to consider the filing. Such filings will be deemed
22 approved unless disapproved within the waiting period.

1 SECTION 8. AMENDATORY 36 O.S. 2021, Section 995, as
2 amended by Section 1, Chapter 304, O.S.L. 2022 (36 O.S. Supp. 2025,
3 Section 995), is amended to read as follows:

4 Section 995. Joint Underwriting, Joint Reinsurance Pool and
5 Residual Market Activities.

6 A. Notwithstanding paragraph 3 of subsection A of Section 992
7 of this title, insurers participating in joint underwriting, joint
8 reinsurance pools or residual market mechanisms may in connection
9 with such activity act in cooperation with each other in the making
10 of rates, rating systems, policy forms, underwriting rules, surveys,
11 inspections and investigations, the furnishing of loss and expense
12 statistics or other information, or carrying on research. Joint
13 underwriting, joint reinsurance pools and residual market mechanisms
14 shall not be deemed an advisory organization.

15 B. Except to the extent modified by this section, joint
16 underwriting, joint reinsurance pool and residual market mechanism
17 activities are subject to the other provisions of the Property and
18 Casualty Competitive Loss Cost Rating Act.

19 C. If, after a hearing, the Insurance Commissioner finds that
20 any activity or practice of an insurer participating in joint
21 underwriting or a pool is unfair, is unreasonable, will tend to
22 lessen competition in any market or is otherwise inconsistent with
23 the provisions or purposes of the Property and Casualty Competitive
24

1 Loss Cost Rating Act, the Commissioner ~~may~~ shall issue a written
2 order and require the discontinuance of such activity or practice.

3 D. Every pool shall file with the Commissioner a copy of its
4 constitution, articles of incorporation, agreement or association,
5 bylaws, rules and regulations governing its activities, list of
6 members, the name and address of a resident of this state upon whom
7 notice, orders of the Commissioner, or process may be served, and
8 any changes in amendments or changes in the foregoing.

9 E. Any residual market mechanism, plan or agreement to
10 implement such a mechanism, and any changes or amendments thereto,
11 shall be submitted in writing to the Commissioner for consideration
12 and approval, together with such information as may be reasonably
13 required.

14 SECTION 9. REPEALER 36 O.S. 2021, Section 984, is hereby
15 repealed.

16 SECTION 10. REPEALER 36 O.S. 2021, Section 985.1, is
17 hereby repealed.

18 SECTION 11. This act shall become effective November 1, 2026.
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20 COMMITTEE REPORT BY: COMMITTEE ON COMMERCE AND ECONOMIC DEVELOPMENT
21 OVERSIGHT, dated 03/05/2026 - DO PASS, As Amended.
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